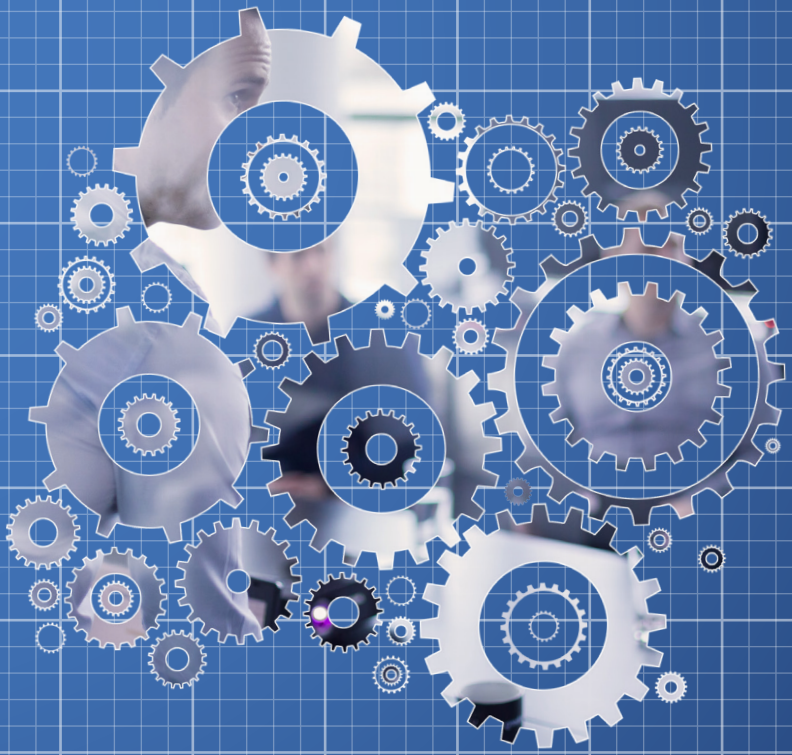
UKCES
UK COMMISSION FOR EMPLOYMENT AND SKILLS

STRENGTHENING THE LINKS IN THE CHAIN

Management and leadership in supply chains and networked organisations



Strengthening the links in the chain

Management and leadership in supply chains and networked organisations

I firmly believe that supply chains are only as strong as their weakest link. So I was pleased to spearhead work with the UK Commission for Employment and Skills (UKCES) to explore how organisations might better work with their supply chains to develop management skills and improve overall capabilities.

A wealth of research evidences the connection between high-quality management practices, performance and growth. Unsurprisingly, firms that apply management best practice are more profitable, grow faster and survive longer. Whilst the UK has a number of world-class organisations which successfully apply these practices, there is also evidence that a great number of organisations could improve their productivity and international competitiveness by adopting such techniques.

The benefits of improving management and leadership are clear, but the route to do so isn't always obvious. It was for this reason that UKCES invited companies to come forward with answers to the question: how can business relationships, procurement leverage, and company networks be used to better engage UK firms and help them develop their management techniques?

As a result, seven projects have been exploring ways to improve the capabilities of UK organisations, to drive up both the demand for, and the perceived value of, management skills, and to create new links and relationships within supply chains to allow managers and firms to learn from their peers.

The experiences and successes of these projects, outlined in this brochure, provide examples of effective ways to use supply chain influence to progress management and leadership capabilities and practice. I would encourage you to consider whether you can draw from these examples, and what more you might do to strengthen the links in your own business network.

***Nigel Whitehead**, BAE Systems Group Managing Director and lead Commissioner for the management and leadership productivity challenge, the second challenge within the UK Futures Programme.*



THE SEVEN PROJECTS:

Action Sustainability
Created an online supply chain management programme and leadership network, featuring videos and e-learning resources.

Black Country Consortium
Delivered a Manufacturing Supply Chain Management programme consisting of 'bite-sized modules' for small to medium sized enterprises (SMEs).

Civil Engineering Contractors Association
Conducted research into what good management and leadership looks like. The research will inform tailored learning programmes to meet the management and leadership needs identified.

Robert Woodhead
A medium-sized firm who developed a construction industry-specific Business Leadership and Management Support programme for its supply chain.

University of Chester
Has taken current thinking and research into leadership approaches and has trialled them on live projects to see their effectiveness in different organisations.

Legal Aid Practitioners Group
Created a flexible and affordable modular practice management training resource, which can fit around business demands for both private and not-for-profit organisations.

Jaguar Land Rover
Worked with a small number of suppliers to support the implementation of high performance working practices. An auditing tool helped to assess and future-proof skills capability, identify management and leadership needs and tailor a development programme for each supplier.

Action Sustainability
Supply Chain School Leadership Programme

The solution

The aim of this project was to create an online supply chain management tool and leadership network, focused on building the management and leadership skills of senior managers and directors of infrastructure and facilities management supply chain companies. The Leadership Programme set out to adapt the innovative Supply Chain School skills diagnostic and learning portal to reflect the requirement for improved management and leadership skills within the sectors.

What did they achieve?

The Leadership Programme focused on management and leadership skills in the area of sustainability. The programme has developed the multi-award winning Supply Chain School to meet the needs of managers and leaders in the infrastructure and facility management sectors of the construction industry. They have created two new learning platforms which include:

- New skills assessment tools
- A series of performance dashboards allowing supply chain companies to benchmark their competencies and primes to benchmark the competence of their supply chains
- Libraries of learning resources catalogued by learning level and topic
- A suite of 10 new e-learning modules
- Unique video content to build competence and capabilities.

"The sustainability school is a fundamental building block in establishing more efficient, productive and sustainable working environments, which will deliver long-term benefits to both customers and suppliers. We're extremely pleased to be part of it."

Keith Chanter, Chief Executive, EMCOR UK

HIGHLIGHTS AND SUCCESSES

- Since starting the project an additional 10 prime organisations in the specified sectors have joined the original 14 partner organisations.
- They are supporting the development of management skills in the supply chain in a common and consistent manner.
- The project succeeded in signing up a wide range of supply chain companies to sustainability training, has achieved industry recognition and has a reach outside of the supply chains of the primes involved.
- £130,000 of cash income, plus significant in-kind support has been committed by these partner organisations to the roll out of the School going forward.

"Working with UKCES on this innovative skills project has enabled our partnership to develop learning portals and diagnostics faster and to a higher quality than would otherwise have been possible. And with ten further primes joining the School we have an excellent learning model for the supply chain."

Ian Heptonstall, Director, Action Sustainability

THIS PROJECT IN NUMBERS

- **971** managers and business leaders attended School engagement events from January to March 2015
- **1500** supply chain companies targeted from 20 prime organisations
- **481** people engaged in the School
- **46%** have developed learning action plans
- **15%** have re-assessed their skills against baseline

WHAT CAN YOU DO?

Enrol in the school by visiting: www.supplychainschool.co.uk

Black Country Consortium Ltd

Manufacturing Supply Chain – Management and leadership best practice based training

The solution

Black Country Consortium (BCC) brokered a series of twelve one day 'bite-sized' accredited management & leadership courses that allowed local manufacturing supply chain businesses to access learning to address their needs. Using prime organisations and other local industry knowledge and networks, the project consulted the target market on the range of learning modules. They worked with local businesses to develop the content and delivery methods and used their knowledge of providers to shape the scope of the modules.

These modules covered both 'hard' and 'soft' skills. For example:

Hard skills:

- Material planning and production control
- Measurement of production efficiency
- Control of quality in the workplace

Soft skills:

- Communication skills
- Appraisal and performance management
- Developing and coaching

The modules were unique and innovative because:

- Accredited units were available in bite-sized (1 day) chunks
- Training was held at 'better practice' manufacturing companies – those working towards management and leadership excellence
- 'Hard skills' training was not available elsewhere in the region
- Follow-on coaching was available for soft skills training
- The training was promoted by prime organisations and Industry Trade Bodies

What did they achieve?

BCC delivered a programme of 12 different employer-designed, bite-sized and accredited management and leadership courses aimed at operational leaders in manufacturing supply chain companies. A total of 165 bite-sized days of training were delivered to 78 individuals from 25 different companies.

This industry-led innovative programme has proven highly successful with the companies and their trainees. The effectiveness of the training has created repeat demand from the participating employers and an ongoing additional programme of courses is being arranged.

HIGHLIGHTS AND SUCCESSES

- The leadership and participation of the steering group, drawn from local businesses, was vital. Their local knowledge and ability to raise awareness and engage their supply chain companies in participation was significant.
- Building relationships, and the trust which comes from this, was also important to persuade busy firms to allow time for management training.
- To ensure that the participants took what they had learned and applied it back into the workplace the project included significant follow up. This took the form of a coach who contacted the learner and their line manager to give support and advice on how the learning could be used. This is important as many businesses report they are unclear how to make sure learning is applied in a role.

"Improving supply chain management and leadership is the solution likely to unlock improved performance most rapidly in manufacturing supply chain companies in the Black Country.

These courses have been developed in partnership with employers and employer representatives to ensure the content will deliver the skills the sector needs to enable us to continue growing the Black Country economy."

Paul Linton, Chairman, Black Country LEP Employment and Skills Board

THIS PROJECT IN NUMBERS

As at December 2015, 165 days of accredited bite-sized training was successfully delivered to 78 individuals from 25 different manufacturing supply chain companies.

WHAT CAN YOU DO?

For more information please visit: www.blackcountryskillsfactory.co.uk

Civil Engineering Contractors Association (CECA)
Infrastructure 21 programme

The solution

Civil Engineering Contractors Association (CECA) set out to research what good leadership and management should look like in the UK infrastructure sector in order for it to respond to the growth forecast for the industry in the next 5 to 10 years. The research acted as a launch pad for the development of a collaborative, cross-industry approach to the delivery of management and leadership capability in the UK infrastructure sector.

What did they achieve?

The project brought together a significant number of prime organisations from the sector to lead the development of the programme, as well as wider sectoral consultation. Seven successful regional events were held and each one was supported by a number of those primes. Supply chain businesses were invited, with the added incentive of 'meet the buyer' type opportunities.

The 'Infrastructure 21' report, outlined the results of the project and provided further opportunity for consultation. CECA presented the findings of its 'Infrastructure 21' report at the first of what it hopes to be an annual conference.

"Infrastructure 21 has been the right project at the right time for our organisation. It has provided, for the first time, a clear view of the key competencies that will be required by supply chain companies working in our sector. It is allowing us to develop a consistent, low-cost national programme to help raise standards in these areas."

Alasdair Reisner, Chief Executive, Civil Engineering Contractors Association

As part of this, CECA presented awards to companies who demonstrated positive results in areas which were identified as most needing development. These included safety leadership, leadership and management, quality management and environmental sustainability to name a few. In addition to this, CECA has now begun rolling out a series of workshops and training across the country.

HIGHLIGHTS AND SUCCESSES

- The project has seen great collaboration between the top ten primes.
- The support given by the primes in development of solutions, attendance at regional events, and leadership of the project, as well as the support from CITB to help fund the delivery of the learning.
- The high level of attendance at the launch of the new annual leadership event.
- The strong links developed between CECA and a trade magazine helped to significantly promote the regional events as well as publish the findings.

"Winning the Infrastructure 21 award for training has had very positive impact on VGC's business. To us it represents formal recognition by industry leaders of the substantial investment that we have made in the development of our workforce. This has had a positive impact on the morale of the company as a whole, and in particular our hard-working training team."

Laurence McKidd, Managing Director, VGC Group

THIS PROJECT IN NUMBERS

- **1** in-depth research report identifying the top ten learning and skills priorities for the infrastructure sector
- **200** people attended the report launch event
- **300** supply chain members involved in regional events

WHAT CAN YOU DO?

Find out more about the vision for good management and leadership for the infrastructure sector by visiting: http://www.ceca.co.uk/media/212539/i21.pdf

Robert Woodhead
Good to Gold programme

The solution

Robert Woodhead is a medium-sized, family owned construction business which is recognised as a leader in management and leadership. They wanted to set the standard for management and leadership in their supply chain by developing a training programme tailored to the needs of micro to medium sized businesses in the construction industry. They also wanted to ensure the programme was accessible and jargon free. The Good to Gold programme was based on Robert Woodhead's understanding of the skills gaps in their sector and gaps in current provision, as well as discussions with their supply chain.

What did they achieve?

Robert Woodhead conducted an Organisational Needs Analysis with almost 100 suppliers.

They set up a 'Supply Chain Steering Group' to advise on the project and design the training, which included modules on health and safety leadership; leading construction industry best practice; financial awareness; and efficient use of resources.

Robert Woodhead developed a bespoke programme tailored to supply chain need. The Good to Gold programme was endorsed by the Institute of Leadership of Management (ILM).

All attendees reported that the training was straightforward and flexible; 95% agreed the training was delivered by top quality trainers and experts and 84% said the training was responsible for a real improvement in business performance.

"We have had great feedback from Good to Gold, and have learned as much about how to work with our supply chain as they have learned about how to work with us.

We are on a journey to improve our systems and methods of working to improve our efficiencies. I am sure that our supply chain will reciprocate. And this greater understanding will increase trust, and trust will be the foundation of the future."

David Woodhead, Managing Director, Robert Woodhead

HIGHLIGHTS AND SUCCESSES

- A number of supply chain businesses made changes to their operations after attending the workshops, such as improved recruitment strategies. Many are also exploring the implementation of other new processes.
- Attendees at workshops felt that the programme offered benefits from attending the workshops as well as the opportunity to network with like-minded businesses. As a result of this, some have now set up a group that meets regularly.
- This model provides an excellent basis for other medium and large companies to develop support arrangements for growing the capacity of their supply chain. Delivery is being costed and other supply chain businesses could benefit from attending on a cost recovery basis.

THIS PROJECT IN NUMBERS

- **150** supply chain businesses contacted
- **97** training needs analysis carried out
- **23** workshops held for 143 individuals from 85 supply chain businesses
- **73%** reported they would be more likely to take up future leadership opportunities because of Good to Gold

"We really are the perfect fit for the Good to Gold programme. At this point in our business we are continuing to grow, after seeing our staffing numbers practically double in the past five years. Workshops have been addressing so many of the challenges we've been facing as a growing business, and have inspired me to get back to the office and put things into practice. I can't speak highly enough of this programme, and I hope it's having the same positive impact on the other businesses taking part."

Paul Gedney, Owner, RJ Wilson

WHAT CAN YOU DO?

Robert Woodhead are very keen to roll this out to the wider sector. If you would like to get involved please email: mbust@robert-woodhead.co.uk

University of Chester

Understanding human-centred management in food and drink supply chains

The solution

This research-based project tested a toolkit which made significant breakthroughs by bringing together theories of behaviour, psychology and management to address issues of communication and trust within prime organisations and across their supply chains in the food industry.

Colleagues from across the organisations were brought together in masterclasses and workshops to explore how they could work together better by challenging assumptions about ways of working and motivations. The research tested whether this tool could help create more 'fluid' organisational boundaries within supply chains.

> ***"From working with UKCES we have been able to better understand the food industry we serve, and expanded the scope of research we can now undertake."***
>
> Professor Graham Bonwick, Executive Director of Innovation and Development, NOWfood Centre, University of Chester

What did they achieve?

Teams from two multi-national food and drink companies and 20 supply chain firms took part in a diverse range of training, with contractors training alongside their customers, and teams from different parts of the organisations working together as well. The training delivered was based on a behavioural assessment of the teams involved, and was focused on resolving poor communications and inefficient ways of working through developing a shared deeper understanding of the causes and consequences.

Many individuals noted tangible improvements in themselves or others in terms of confidence, communication skills or their ability to work co-operatively. A behavioural framework was produced based on the most helpful aspects of the toolkit.

The behavioural framework was based on original ideas which were tested with over 100 individuals from 20 companies in the food and drink sector. The framework drew on theories from 3 different areas: Behavioural Management, Behavioural Economics (the psychology of decision making) and Transactional Analysis (the psychology of human interaction). This was accompanied by some simple-to-use tools, including a toolkit, guide to behavioural competence, and skills assessment quiz, which aimed to increase, as well as improve, communication and people management behaviours both within prime organisations and between primes and their supply chains.

HIGHLIGHTS AND SUCCESSES

- Interviews and surveys conducted at the end of the project showed increases across the board in trust between and within teams, and trust and co-operation in the supply chain.
- Certain individuals made great progress in participating and sharing their views based on mutual trust.
- One manager noted, after the training, that there were no longer any unresolved tensions or misunderstandings interrupting productivity.

"The workshop has built up a lot of self-confidence. A lot of the things I have implemented have worked out, which is good for me. But when things have gone wrong I have learned what to do and how not to do things in the future."

Supply Chain Relationship Manager, major food retailer

THIS PROJECT IN NUMBERS

- **2** multi-national prime organisations engaged
- **20** supply chain businesses engaged
- **57** highly focused face-to-face training sessions delivered
- **104** attendees on the training courses

WHAT CAN YOU DO?

Explore the project website and look at the behavioural framework by visiting www.project-hcm.com/behavioural-framework

Legal Aid Practitioners Group (LAPG)

Legal aid management and leadership skills project (certificate)

The solution

In a sector experiencing significant change, Legal Aid Practitioners Group (LAPG) has developed a practice management course designed to meet the demands of legal aid law firms to provide better management training to busy legal professionals. The course focuses on building the skills needed to make the businesses more responsive; improving their viability and chances of survival.

What did they achieve?

LAPG developed and delivered a modular Certificate in Practice Management that has been market-tested both in terms of its content and delivery model. This has been recognised by professional bodies including the Legal Aid Agency and Legal Education Foundation.

A model has been tested by the market and feedback from those taking part indicates they have seen a direct and positive business benefit. This evidence is important in the forward promotion of the model, especially when trying to engage traditionally reluctant firms.

The model shows that the management skills of busy practitioners, not trained in management, can be enhanced for the benefit of the running of the organisation. This could be of value to other professionals from GPs to architects.

"Our senior solicitor attended the course as part of her personal development and as part of our strategy to increase management expertise across the organisation. Since completing the course she has been an integral member of our senior management team and it has been evident that she is better equipped to balance the competing demands of management, supervisory and casework responsibilities."

Chris Minnoch,
Manager, Greenwich Housing Rights

HIGHLIGHTS AND SUCCESSES

- LAPG was able to find a delivery model that engaged busy people; combining an overnight stay with face-to-face delivery while factoring in time so people could remain in contact with their offices.
- Although people were busy and spread across the country, LAPG found that bringing people together helped strengthen the learning process and built connections and networks.
- Through early consultation, they developed content that was right in terms of what was covered and to what level, so learners gained value.
- Half of employers reported that trainees were better able to balance their legal and management duties after the course, effectively tackling the problem of busy practitioners who also have significant management responsibilities.
- All employers reported that trainees' management skills were somewhat, or much, improved as a result of the course.

THIS PROJECT IN NUMBERS

- **24** participants from across 18 businesses (6 not-for-profit and 12 private) took part
- **17** of the **24** completed the course and achieved more than **60%**; the level required to be awarded the Practice Management Certificate
- **40%** of employers reported that trainees had made an increased contribution to the operational or strategic direction of the business after the course

"The LAPG CPM provided invaluable training to me. As a person new to management, with no previous training, the course offered me the opportunity to learn the theory of management and develop the practical skills. I have already put many of the new skills I have learned into practice and have the literature close at hand for reference!"

Paula Harris, Solicitor and Head of Civil Department, David Gray Solicitors

WHAT CAN YOU DO?

LAPG will be running the course again in 2016. To find out more please visit www.lapg-cpm.com

Jaguar Land Rover

JLR supplier leadership and management skills programme

The solution

Jaguar Land Rover (JLR) developed a 'demonstrator' which will enable leaders and managers within the supply chain to align skills, job design and other workplace practices to support growth through the deployment of high performance working practices (HPWP).

The solution focused on engaging senior leaders and managers within its businesses to identify how their business is performing, evaluating themselves against a set of self-defined measures which were aligned to their own strategy and business plans. This then helped them to individually shape and implement learning solutions delivering required business improvements.

> ***"This project has made a significant contribution to our relationships with suppliers. We are delighted with the impact it is having on their capability to respond in quantity and quality to the needs of Jaguar Land Rover's continuing growth."***
>
> Jon West, Director, Manufacturing HR & Employee Relations, Jaguar Land Rover

The supply chain businesses developed a high performance working self-auditing tool which covered areas such as organisational culture and ethos, organisational capability, customer relations and the high performance working practices that come together to engage, enable and energise employees.

What did they achieve?

There has been productive engagement between Jaguar Land Rover and its suppliers which has facilitated a further opportunity to share ideas, resources and challenges, providing a platform for collaboration in supporting management and leadership skills.

There is a greater awareness of the shared skills challenges and the opportunity to further investigate root causes. They also have the ability to deploy new and innovative practices to overcome these challenges, while sharing learning as a collective group.

The manufacturing industry has the opportunity to achieve a better balance in focus between process and people. Developing management skills to deliver high performance working practices will help achieve this.

Jaguar Land Rover is considering how the learning from this project may help the development of its procurement processes in supporting suppliers to achieve greater levels of excellence.

HIGHLIGHTS AND SUCCESSES

- A diagnostic tool was developed that promoted proactive debate in relation to the levels of employee engagement and how this directly influences the efficiency of business functions.
- There is greater awareness and understanding of high performance working techniques and how they connect to real business benefits.

THIS PROJECT IN NUMBERS

- **19** high performance working self-assessment audits across 16 company sites
- **10** high performance working projects in 6 companies
- Over **180** Directors, Managers and Team Leaders involved to date

"My team and I have previously operated as 'independent' technical experts. Being the leader of Sertec's HPW project has given me the development to work more openly and collaboratively with my colleagues from other departments. This has allowed us to achieve significant and sustainable operational improvements where previous attempts have failed."

Paul Wilcox, Principal Process Engineer, Sertec

WHAT CAN YOU DO?

Please contact Rita Davey (Rdavey5@jaguarlandrover.com) who can facilitate an initial self-assessment workshop.

Strengthening the links

Through working with these seven collaborations, the UK Commission for Employment and Skills found:

- There is significant scope for supply chain leads and intermediary organisations to influence, engage and motivate supply chain businesses to build their management and leadership capabilities. Companies can take many different routes to achieve this.
- Engaging supply chain businesses in the tailored design of the learning solution was critical to meet their needs and build up trust.
- In many cases, these projects are now at the point of taking their next steps; expanding their ideas to reach more supply chain businesses or different supply chains altogether.
- Existing business needs and clear business benefits are important both to supply chain leads and suppliers if these changes are to be maintained. Change is delivered through clear communication of benefits, and strong relationships between the companies involved.
- Senior management commitment at all levels of the supply chain helps to drive changes through organisations.
- Skills accrue not just through direct training, coaching or mentoring but from better engagement with prime organisations and with other supply chain businesses.
- Taking part in these projects has helped supply chain leads to understand how they can work more effectively with their supply chain. Examining these processes and relationships has been a valuable exercise in itself.

What can you do?

Across supply chains

As an organisation, there is great potential within your sector for you to bring about change through effective use of **supply chain influence.** The examples above prove that it is possible to take action to progress management and leadership skills throughout your supply chain.

If you share a supply chain with other employers – what goals might you share to improve its capabilities? Explore **ways of working together** for the mutual benefit of each other and the businesses within your supply chain.

In your own supply chain

Ask yourself if there is anything in the management of your supply chain companies that might be holding back your own performance. Supply chains are only as strong as their weakest link. Supply chain heads are in an excellent position to take the lead here.

If you're looking to drive up the capabilities of your supply chain consider the following:

- **Think local** - make the most of your business's location by building upon pre-existing business relationships and networking with businesses in the local area, this will enable an effective spread of influence, ideas and practices.
- Be prepared to **change the way you work** with your suppliers, so they change the way they work with you. Progress your supply chain relationships along a continuum – beyond procurement to active management of the supply chain, and beyond this to supply chain development.
- **Sell the opportunity** to your suppliers, and show them all the ways they can benefit from taking part in this process. This process should be good for you and them – make sure they know how. Communicate with them and find out what they need.
- Develop or **use a diagnostic tool** to help identify skill needs and measure change and improvement. Many of the projects have made use of such tools.

Contact information and outputs for all projects are provided in this brochure – **could your firm benefit from strengthening the links in your supply chain?**



LAPG

WOODHEAD CONSTRUCTION
teamwork • craftsmanship • innovation
Making Building a Better Experience for All

ceca
Working for Infrastructure

JAGUAR

LAND ROVER

University of Chester | Institute of Food Science and Innovation

SUPPLY CHAIN SUSTAINABILITY SCHOOL

Black Country *Skills Factory*

The UK Commission for Employment and Skills (UKCES) is a publicly funded, industry-led organisation providing authoritative leadership on skills and employment issues across the UK.

For further information, please:

- visit www.gov.uk/ukces
- email enquiries.futuresprogramme@ukces.org.uk
- call 01709 774 800